Pearson Edexcel International GCSE

Predicted Paper — Advanced Difficulty

Economics — Level 1/2

PAPER 2: Macroeconomics and the Global Economy

Paper reference: 4EC1/02

Time: 1 hour 30 minutes **Total Marks: 80**

Candidate surname	**Other names**
Centre Number	**Candidate Number**

Instructions

- Use black ink or ball-point pen.
- Fill in the boxes at the top of this page with your name, centre number and candidate number.
- Answer all questions.
- Answer the questions in the spaces provided – there may be more space than you need.
- Calculators may be used.
- You are advised to show all your working out with your answer clearly identified at the end of your solution.

Information

- The total mark for this paper is 80.
- The marks for each question are shown in brackets – use this as a guide as to how much time to spend on each question.

Advice

- Read each question carefully before you start to answer it.
- Try to answer every question.
- Check your answers if you have time at the end.

Answer ALL questions. Write your answers in the spaces provided.

Some questions must be answered with a cross in a box ☐. If you change your mind about an answer, put a line through the box and mark your new answer with a cross.

1 **(a)** Which **one** of the following best describes a negative externality of production? **(1)**

☐ **A** Jobs created by a new factory

☐ **B** Pollution affecting nearby residents

☐ **C** Tax revenue for the government

☐ **D** Lower prices for consumers

(b) Which **one** of the following is most likely to reduce carbon emissions? **(1)**

☐ **A** A subsidy for coal-fired power stations

☐ **B** Removal of a tax on petrol

☐ **C** A carbon tax on fossil fuel producers

☐ **D** Cutting the price of electricity from gas

(c) What is meant by the term **market failure**? **(2)**

(d) Describe **one** way deforestation can cause economic damage to a country such as Indonesia. **(2)**

Figure 1 shows selected environmental indicators for Indonesia in 2023.

Indicator	**Value (2023)**
CO_2 emissions (million tonnes, 2023)	692
Share of electricity from coal (%)	61%
Annual deforestation rate (hectares)	115 000
Estimated external health cost (US$bn)	28.5

Figure 1

(e) Using the data in Figure 1, calculate the estimated external health cost per tonne of CO_2 emitted in Indonesia, in US$. You are advised to show your working. **(2)**

In 2024, the Indonesian Government announced plans to introduce a carbon tax on coal-fired power generation to reduce harmful emissions.

(f) Using the diagram below, draw the effects of the introduction of the carbon tax on the equilibrium price and quantity of coal-fired electricity in Indonesia. Label the new curve, the new equilibrium price and the new equilibrium quantity. **(3)**

Price of coal electricity ↑

```
  D                   S
   \                 /
    \               /
     \             /
Pe ---- \          /
       \     /
        \  /
         X
        /  \
       /     \
  S   /        \    D
         Qe        Quantity of coal electricity →
```

Figure 2

Coal-fired power stations in Indonesia generate emissions that are estimated to cause thousands of premature deaths each year and damage agricultural yields through acid rain.

(g) Explain **one** reason why negative externalities cause market failure in a country such as Indonesia. **(3)**

Indonesia has pledged to reach net-zero emissions by 2060. Critics argue that a carbon tax alone will not achieve this goal and that additional regulation and investment in renewable energy are needed.

(h) With reference to the data above and your knowledge of economics, analyse the possible disadvantages of introducing a carbon tax in a country such as Indonesia. **(6)**

(Total for Question 1 = 20 marks)

2 **(a)** Which **one** of the following best describes hyperinflation? **(1)**

- ☐ **A** A steady rise in prices of around 2% per year
- ☐ **B** A persistent fall in the general price level
- ☐ **C** An extremely high and typically accelerating rate of inflation
- ☐ **D** A temporary one-off rise caused by higher taxes

(b) Which **one** of the following describes stagflation? **(1)**

- ☐ **A** High economic growth with low inflation
- ☐ **B** High inflation combined with rising unemployment and stagnant growth
- ☐ **C** Low inflation with rising real wages
- ☐ **D** A falling price level combined with rising employment

(c) State **one** impact of hyperinflation on savers in a country. **(1)**

(d) What is meant by the term **cost-push inflation**? **(2)**

In December 2023, the Argentine Government devalued the peso by more than 50% against the US dollar and removed many price controls. Shop prices rose sharply in the following weeks.

(e) Explain **one** reason why the devaluation of the peso is likely to increase inflation in Argentina. **(3)**

(f) Using the diagram below, label the remaining three stages of the economic cycle in the boxes on the diagram. **(3)**

Real GDP↑

```
      [          ]                          trend rate
       ___                              ___
      /   \                            /
     /     \                         /
    /       \__       ___          /
   /          \     /     \     /
                \/   [      ]  \/
```

[ ] Recession

Time →

Figure 3

Figure 4 shows Argentina's annual inflation and real GDP growth between 2021 and 2023.

Year	Annual inflation	Real GDP growth
2021	50.9%	+10.4%
2022	94.8%	+5.0%
2023	211.4%	−1.6%

Figure 4

In response to stagflation, the Argentine central bank raised interest rates to over 100% in 2023, while the government cut subsidies on energy and transport and reduced public-sector employment.

(g) With reference to the data above and your knowledge of economics, assess the possible effects of using contractionary monetary policy to reduce inflation in a country such as Argentina.

(9)

(Total for Question 2 = 20 marks)

3 **(a)** Which **one** of the following would most likely cause an appreciation of a country's currency? **(1)**

- ☐ **A** A fall in domestic interest rates
- ☐ **B** A rise in imports of consumer goods
- ☐ **C** An increase in foreign direct investment into the country
- ☐ **D** Higher domestic inflation than in trading partners

The Saudi riyal is pegged at a rate of 1 US$ = 3.75 SAR.

(b) How many Saudi riyals would a firm receive for an export worth US$2 000? **(1)**

- ☐ **A** SAR 533
- ☐ **B** SAR 1 875
- ☐ **C** SAR 7 500
- ☐ **D** SAR 75 000

In 2024, growing demand from foreign investors for Saudi bonds led to a sustained rise in demand for the riyal on foreign-exchange markets.

(c) Using the diagram below, draw the effects of the rise in demand for the riyal on the equilibrium exchange rate and quantity of riyals traded. Label the new curve, the new equilibrium exchange rate and the new equilibrium quantity. **(3)**

Price of the riyal (in $) ↑

```
  D                   S
   \                 /
     \             /
       \         /
 ER ----  \       /
            \   /
             \ /
              X
             / \
            /   \
  S       /       \    D
           Qe        Quantity of riyals →
```

Figure 5

Figure 6 shows Saudi Arabia's current-account components for 2023 (US$bn).

Current-account component	Value (US$bn)
Oil exports	326.5
Non-oil exports	67.4
Total imports of goods	208.7
Net services balance	−38.2
Net income balance	−22.0

Figure 6

Under its "Vision 2030" programme, Saudi Arabia is investing heavily in tourism, renewable energy and manufacturing to reduce its dependence on oil exports.

(d) With reference to the data above and your knowledge of economics, analyse the possible benefits to Saudi Arabia of diversifying away from oil. **(6)**

In 2024, the Egyptian pound was devalued by almost 40% against the US dollar. The devaluation was part of a package agreed with the IMF to attract more foreign investment and support struggling Egyptian exporters.

(e) With reference to the data above and your knowledge of economics, assess the possible effects of a currency devaluation on an economy such as Egypt. **(9)**

(Total for Question 3 = 20 marks)

4 Figure 7 shows selected development indicators for India in 2023.

Development indicator	Value (2023)
Real GDP growth	7.6%
Inflation rate	5.2%
Population below poverty line	12.9%
Net ODA received (US$bn)	3.1

Figure 7

In 2023, India's population reached 1.43 billion, overtaking China as the world's most populous country. The percentage of the population living below the national poverty line had fallen from 21.9% in 2011 to 12.9% in 2023.

(a) Using the data above, calculate the number of Indians still living below the poverty line in 2023, in millions. You are advised to show your working. **(2)**

India's economic growth has been driven by strong demand for its services exports — particularly IT and business-process outsourcing — as well as significant government investment in roads, ports and digital infrastructure.

(b) With reference to the data above and your knowledge of economics, analyse the possible ways in which economic growth can raise living standards in a country such as India. **(6)**

Ethiopia is one of the fastest-growing economies in Africa but remains heavily dependent on agriculture and receives significant amounts of foreign aid. In 2023 it received more than US$4bn in official development assistance (ODA), much of it tied to specific projects.

At the same time, Ethiopia's membership of the African Continental Free Trade Area (AfCFTA) is opening up new markets for Ethiopian exports of coffee, leather goods and textiles.

Some economists argue that trade, rather than aid, is the more effective long-term route to economic development for a country such as Ethiopia.

(c) With reference to the data above and your knowledge of economics, evaluate the view that trade is more effective than foreign aid in promoting economic development in a country such as Ethiopia. **(12)**

(Total for Question 4 = 20 marks)

TOTAL FOR PAPER = 80 MARKS